



What the 4.3% Headline Leaves Out

Student copy (project or hand out)

1 The headline unemployment rate held at 4.3 percent in May 2026, the third straight month without movement, according to the Bureau of Labor Statistics. A second number in the same release, the one most reports skip, sat at 8.1 percent. That broader measure, the BLS U-6 rate, ran 3.8 percentage points above the figure that made the news. The gap is the story.

2 The headline figure is called U-3, and it counts a specific thing well. To be unemployed under U-3, a person has to be out of work and to have made an active job-search effort in the four weeks before the survey. Look for work last month and come up empty, and you are counted; stop looking because you have decided nothing is out there, and you are not. That boundary is deliberate. It keeps the headline measuring people who are demonstrably in the market, which is also what makes it the standard reference rate.

3 U-6 redraws the boundary wider. It keeps everyone U-3 counts, then adds two groups the headline sets aside. The first is the marginally attached: people who want a job and have looked within the past year, but not in the four weeks the survey asks about. The second is people working part-time who want full-time hours and cannot get them, the involuntarily part-time. In May, the marginally attached numbered 1.7 million, little changed from April. Inside that group sat 486,000 discouraged workers, people who have quit searching because they believe no job is open to them.

4 Those who are involuntarily part-time form the larger pool. In May 2026 they numbered 4.8 million, workers logging fewer than 35 hours a week who told the survey the short hours were not their choice. U-3 records every one of them as employed, full stop, the same as a worker putting in fifty hours. U-6 is the measure that registers the difference. The labor force participation rate, separately, held at 61.8 percent.

5 The month was not weak on its face. Payrolls grew by 172,000, roughly double the 80,000 to 88,000 most economists had forecast. The strong figure and the soft one are reading the same labor market: hiring is real, and slack is wider than the headline admits.

6 One trend underneath the surface is harder to wave off. Workers jobless for 27 weeks or longer made up 27.5 percent of the unemployed in May, up from 20.4 percent a year before; in absolute terms that long-term group reached 2.0 million, an increase of 524,000 over the year. The Center for American Progress puts the three-month average for that group 43.8 percent above its 2018 to 2019 baseline. People are not losing jobs faster. They are staying out longer once they do.

7 U-6 is the fuller measure of how much room is left in the labor market, and on that score the May reading is the one to watch. U-3 stays the standard headline because active search is what it sets out to count, and it counts it cleanly. The Federal Reserve, holding its target range at 3.5 to 3.75 percent in late

April, described labor conditions as fragile and gradually weakening. For now the two numbers sit side by side in the same release, 4.3 and 8.1, measuring different things and disagreeing about none of them.

AP-style multiple choice:

1. In the final paragraph, the writer adjudicates between U-3 and U-6 primarily to
 - A) argue that the headline U-3 rate is misleading and should be replaced by U-6 in news coverage
 - B) show that the two rates contradict each other and that one of them must be in error
 - C) settle which measure is more complete for gauging slack while explaining why the other remains the standard headline
 - D) recommend that the Federal Reserve set policy using U-6 rather than the headline figure
2. In the fourth paragraph, the sentence stating that U-3 records the involuntary part-timer 'the same as a worker putting in fifty hours' functions chiefly to
 - A) suggest that the fifty-hour workweek is the national norm the survey assumes
 - B) establish that part-time employment had risen sharply from the previous month
 - C) make concrete what the headline measure flattens by setting two unlike workers in the same category
 - D) praise full-time workers for their longer hours relative to part-time workers

Discussion questions:

1. The writer concedes that U-3 'counts a specific thing well' before turning to what it leaves out. How does granting the headline measure real merit change the force of the case for paying attention to U-6?
2. The piece reports a strong payroll number and a widening slack picture in the same breath and calls them 'the same labor market.' When two true figures point in apparently opposite directions, what does a careful reader owe each of them?

Writing prompt (Homework or extended in-class, Q3 argument):

The opener weighs a narrow, widely cited unemployment measure (U-3) against a broader one (U-6) and concludes that the broader measure better captures labor-market slack while the narrow one remains the standard headline because it counts active job-seeking cleanly. This raises a general question about public measurement. Write an essay in which you defend, challenge, or qualify the following claim: a society is best served when its most prominent economic indicator is the one that is cleanest to define, even if a broader, messier measure would capture more of what people actually experience. Use reasoning and evidence from your own knowledge, observation, or study to develop your position.